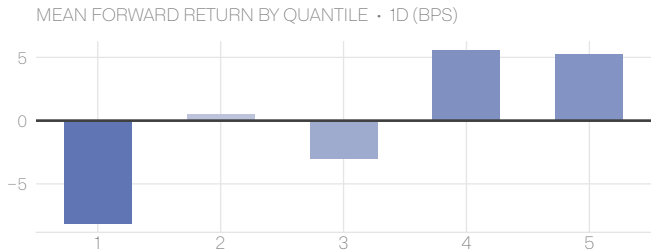




Margin Risk

Assets with higher at-risk-of-liquidation positions tend to underperform less leveraged assets.

The factor capitalizes on the tendency of assets with higher at-risk-of-liquidation positions to underperform less leveraged assets. It predicts positions vulnerable to forced closure at 1%, 2%, 5% and 10% deviations from the current price, aggregated from the top ten most reputable exchanges.



The universe consists of the most liquid and actively traded assets, identified on a rolling basis and survivorship-bias free. Positions are scaled by the inverse of rolling volatility; the factor is available point-in-time with hourly updates.

EXAMPLE TOP 40 CROSS-SECTIONAL PORTFOLIO

Long and short the dynamic, rolling Top 40 universe (point-in-time), sized by the factor's cross-sectional strength. Rebalanced daily.

[Download Returns \(CSV\)](#) →

PERFORMANCE

Report Period Start Date Jan 2021 • End Date Aug 2026

Cumulative Returns

MTD	Last Month	1M	3M	YTD
-1.0%	-0.2%	-0.8%	-2.6%	-1.1%

Annualised Returns (CAGR)

1Y	3Y	5Y	SI
7.4%	17.4%	18.1%	27.0%

RISK PROFILE

Realised Volatility (annualised)

1M	3M	1Y	3Y	5Y	SI
7.7%	11.4%	11.6%	13.9%	13.2%	14.6%

Max Drawdown

%	Date
-12.2%	2024-01-12

CUMULATIVE RETURN



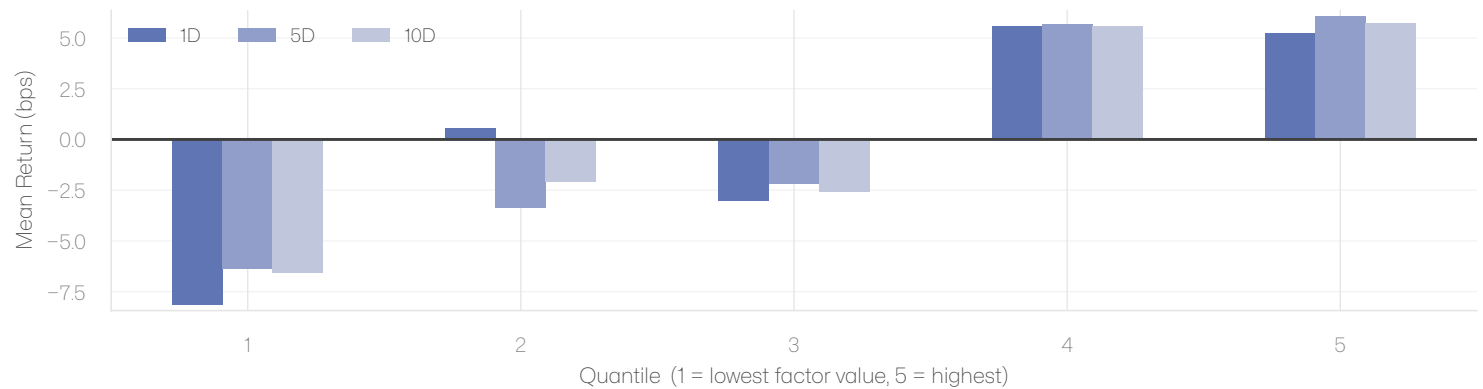
Note – Performance is for an illustrative single-factor portfolio (positions sized proportionally to the factor signal across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

Factor Analysis

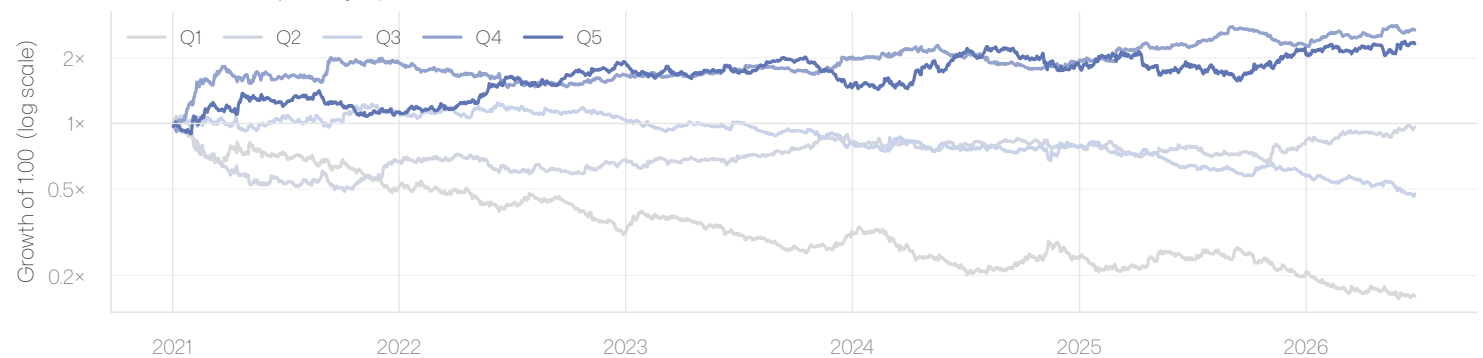
[Download Factor Data \(CSV\)](#) →

Diagnostics on the raw factor values, independent of portfolio construction: the quantile and IC plots show whether the signal cross-sectionally separates out- from under-performers, and how consistently. Computed point-in-time on the rolling Top 40 universe (the live factor spans many more tokens – see the raw factor-data CSV in the data room).

Mean Period Wise Return by Factor Quantile

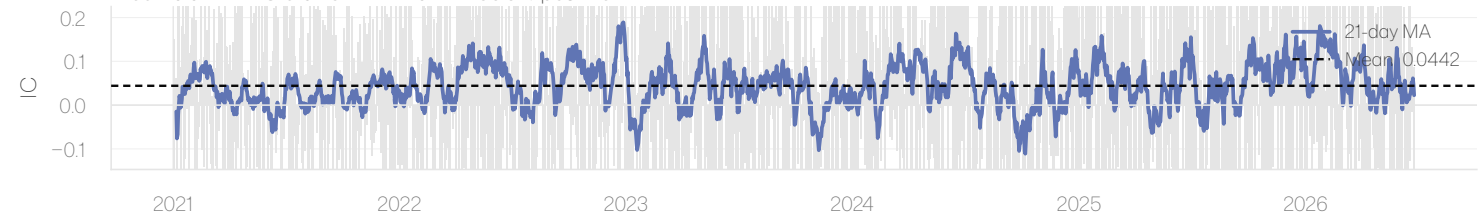


Cumulative Alpha by Quantile • demeaned, 1D



Information Coefficient (Spearman)

Mean 0.0442 • Std 0.2672 • IR 0.17 • 56.3% positive • 1D



ABOUT APERIODIC FACTORS

Aperiodic Factors publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – built for systematic research and backtesting. Full catalog, methodology and API at factors.aperiodic.io; see the materials below.

[View this factor on factors.aperiodic.io](#) →

[Replication notebook – full AlphaLens analysis](#) →

Have further questions? Book a call with our team – factors.aperiodic.io/booking

Unless indicated otherwise, this document and all information contained within – including, without limitation, all methods, processes, concepts, text, data, graphs and charts (together, the “Content”) – is the property of Aperiodic Factors and its affiliates (“Aperiodic Factors”) or its licensors. Aperiodic Factors does not provide investment advice and nothing in the Content shall be construed as such. In particular, the inclusion, weighting or exclusion of an asset or exchange does not in any way suggest or reflect an opinion of Aperiodic Factors. Financial instruments based on Aperiodic Factors’ factors or indices are in no way sponsored, endorsed, sold or promoted by Aperiodic Factors. The Content is provided solely for informational purposes based upon information generally available to the public and from sources believed to be reliable. No Content may be modified, reproduced, reverse engineered, or distributed in any form or by any means without the prior written consent of Aperiodic Factors. THE CONTENT IS PROVIDED ON AN “AS IS” BASIS AND APERIODIC FACTORS DISCLAIMS ANY AND ALL EXPRESS OR IMPLIED WARRANTIES, INCLUDING BUT NOT LIMITED TO ANY WARRANTIES OF FITNESS FOR A PARTICULAR PURPOSE OR USE, FREEDOM FROM BUGS, OR SOFTWARE ERRORS OR DEFECTS. In no event shall Aperiodic Factors be liable for any direct, indirect, incidental, compensatory, punitive, special or consequential damages, costs, expenses, legal fees or losses (including, without limitation, lost income or lost profits and opportunity costs) in connection with any use of the Content even if advised of the possibility of such damages. Performance shown is derived from an illustrative single-factor portfolio and may include hypothetical, back-tested results that reflect application of a methodology with the benefit of hindsight; actual results may differ materially. Past performance is not an indication or guarantee of future results.